NVIDIA Corporation

NVDA NASDAQ

Buy	$186.97 ▲ 2.96%	12M Price Target	52-Week Range	Market Cap
		$235.00	$164.27 – $243.37	$4.51T

NVDA: Bouncing After AI Selloff, Policy Tailwinds Still Intact

WHAT HAPPENED

- Stock bounced +3% today ($186.97) after yesterday's brutal -9% flush — that was the worst chip selloff since the COVID crash in 2020. Translation: people panicked that AI spending might cool, then this morning realized GPU prices are actually RISING (supply is still way behind demand), which is bullish for NVDA's pricing power.
- Big puts getting bought at $187.50 and $190 strikes though — someone with real money is hedging or betting this bounce doesn't hold into next week. Don't ignore that.

WHY IT MATTERS

Here's what I think is really going on: the market had an "AI bubble" freakout, but the underlying demand signal (GPU prices rising) contradicts the bear thesis. When prices go UP during a selloff, that tells you the fundamentals haven't changed — only sentiment has. The unusual put activity suggests institutions are hedging a position they still want to own, not dumping it (put/call ratio of 0.81 is actually only mildly bearish). The real question is whether hyperscaler capex guidance on upcoming earnings calls (MSFT, META, GOOGL, AMZN) holds up — if those four keep guiding $300B+ combined in AI spending for 2027, NVDA at $187 is a gift.

POLICY & POLITICAL WATCH

The biggest policy wildcard right now is the China export control framework — the Commerce Department is reportedly weighing whether to loosen or tighten restrictions on the H20 and Blackwell-lite chips NVDA designed specifically for China. Looser rules = billions in unlocked revenue; tighter = another headwind. On the tailwind side, the federal AI infrastructure push (DOE national lab buildouts, DoD's JWCC cloud contracts) continues to funnel money to NVDA-powered systems, and the administration has been consistently pro-domestic-AI-champion. Watch for any Treasury commentary on whether AI capex qualifies for accelerated depreciation in the tax package being negotiated — that would juice hyperscaler spending even more.

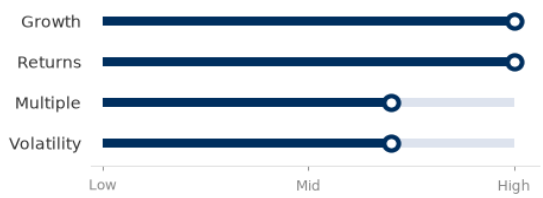
IS IT EXPENSIVE?

At $4.5T market cap and roughly 42x forward earnings, investors are paying $42 for every $1 of profit NVDA is expected to make next year — expensive vs. the S&P at ~22x, but cheap if you believe earnings grow 40%+ for two more years (which would make the "real" PE closer to 25x). The stock is sitting at just 29% of its 52-week range, meaning it's closer to the bottom than the top — that's unusual for a company still growing revenue triple-digits. Bottom line: it's not a bargain, but you're not paying a bubble price either given the growth.

Key Data

Price (USD)	**$186.97**
12M Price Target	**$235.00**
Upside / (Downside)	**+25.7%**
Market Cap	**$4.51T**
FY2026E Revenue	**$205M**
FY2027E Revenue	**$285M**
FY2026E EPS	**$4.45**
FY2027E EPS	**$6.20**
Fwd P/E	**42.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$210.00**	$195.00	**$165.00**
6 Months	**$250.00**	$215.00	**$160.00**
1 Year	**$290.00**	$235.00	**$150.00**
2 Years	**$360.00**	$280.00	**$140.00**
5 Years	**$500.00**	$380.00	**$180.00**
10 Years	**$800.00**	$550.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+5.7% on 5d) is the standout — ad-driven names are benefiting from the "rotation out of AI capex hype into AI revenue reality" trade. Healthcare is flat but stable, acting as defensive ballast.

COOLING OFF: Energy got hammered (-11.6% on 5d) on demand concerns, and Tech itself is still down -7.9% on the week despite today's bounce. That tells you the selloff was tech-specific, not broad risk-off.

ROTATION WATCH: Money rotated violently out of AI infrastructure names into "AI monetizers" (ad platforms, software) this week. If that reverses — or if a big AI earnings report reaccelerates capex guidance — NVDA is the primary beneficiary.

RELATED PLAY: If you believe the AI capex story holds, the power/grid names (VST, CEG, GEV) are the second-derivative play — data centers need electricity, and that's a decade-long shortage.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Bouncing with NVDA today — MI350 ramp story is intact and they're the "second source" trade for any hyperscaler worried about NVDA concentration.
- MU (Micron): HBM memory (the high-bandwidth stuff that goes into AI servers) is sold out through 2027 — they're a leveraged NVDA play.

NVDA CONTEXT: NVDA is bouncing roughly in-line with chips today, not leading — that's slightly disappointing and suggests the stock needs a real catalyst (earnings, guidance, policy win) to reclaim leadership. It's lagging because it's the biggest name in the group, so forced selling from index funds hit it hardest yesterday.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not pounding the table at $187 but I'm definitely a buyer on any further weakness; the story hasn't broken, just the sentiment.

POSITION SIZE: 5-8% of a growth portfolio — big enough to matter, small enough that a 30% drawdown doesn't ruin your year.

ENTRY POINTS: Scale in between $175-185. If we revisit $165 (the 52-week low), back up the truck unless the fundamentals have clearly changed.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Blackwell Ultra revenue recognition in Q1/Q2 2027 and hyperscaler 2027 capex guidance.

WHEN TO BAIL: Two hyperscalers cut capex guidance in the same quarter, OR a China export ban expands to the full Blackwell line, OR gross margins drop below 70% (signals pricing power is cracking).

HEDGING: Simplest hedge — own 30-40% of your NVDA position size in a chip-sector short ETF like SOXS during periods of extreme froth. Or just trim 20% when the stock is at 52-week highs and buy it back on 10%+ pullbacks.

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